URAVI DEFENCE & TECHNOLOGY LTD (NSE: URAVIDEF / BSE: 543930)

INSTITUTIONAL FORENSIC DNA X-RAY, PROMOTER DUMPING AUDIT & GOVERNANCE WARNING

Institutional Status: **HARD GATE DISQUALIFICATION — SPECULATIVE REBRANDING & PROMOTER DISTRIBUTION TRAP** (Score: 28/100).
Core Findings: CMP Rs 100.00 | Market Cap Rs 114 Cr (Nano-Cap) | Stock P/E 108x | ROCE 3.93% | ROE 2.19% | Book Value Rs 44.60.
Severe Red Flag 1 (Promoter Liquidation): Promoters aggressively dumped **32.69% equity** (stake crashed from **72.73%** in Dec 2023 to **40.04%** in Sep 2026), offloading shares into retail hands as retail shareholding exploded from 23.3% to 53.2% (+217% retail count).
Severe Red Flag 2 (Name Hype vs Reality): Formerly *Uravi T and Wedge Lamps Ltd* (auto-lamp manufacturer). Rebranded to 'Defence & Technology', but TTM sales are stagnant at Rs 40.6 Cr, operating profit collapsed to Rs 2.37 Cr, and OPM shrank to 5.8%. Other income (Rs 3.54 Cr) exceeds total operating profit!

1. LIVE VERIFIED FORENSIC METRICS & RED FLAG SCORECARD

Metric	Live Value	Forensic Red Flag Check	Metric	Live Value	Forensic Red Flag Check
CMP	Rs 100.00	**At 52W low breakdown (Range: 95-231)**	**Market Cap**	Rs 114 Cr	**Illiquid Nano-Cap (< Rs 250 Cr)**
Stock P/E	**108x**	**Grotesque valuation for low-margin auto OEM**	**Price-to-Book**	2.24x	Book Value Rs 44.60; asset quality weak
ROCE	**3.93%**	**Severely value-destructive (< Cost of Capital)**	**ROE**	**2.19%**	**Below risk-free bank savings deposit**
Promoter Stake	**40.04%**	**Down -32.69% in 21 months (was 72.73%)**	**Public Holding**	**53.22%**	**Retail holding surged from 23.3% to 53.2%**
TTM Revenue	Rs 40.59 Cr	Stagnant (FY25: 41.3 Cr, FY26: 38.6 Cr)	**TTM Oper. Profit**	**Rs 2.37 Cr**	**OPM compressed from 14.1% to 5.8%**

2. MICROSCOPIC AUDIT OF PROMOTER DUMPING INTO RETAIL

FORENSIC TRAP CONFIRMED: THE RETAIL LIQUIDITY EXTRACTION PLAY

Between December 2023 and September 2026, the company underwent a corporate name change from *Uravi T and Wedge Lamps Ltd* to *Uravi Defence and Technology Ltd*. During this precise window of 'Defence sector mania', the stock rallied to an all-time high of Rs 231-240. **Promoters systematically dumped 32.69% of the company's total equity**, cutting their personal stake from **72.73% down to 40.04%**. Simultaneously, retail investors were drawn in, expanding the retail shareholder count from 1,061 to 5,064 (+377%). Institutional investors and disciplined capital consider this a fatal red flag.

Quarter	Promoter Stake	FII Stake	Public / Retail Stake	Retail Shareholders	Forensic Behavior
Dec 2023	72.73%	0.00%	27.27%	1,061	Pre-rebranding tight ownership baseline
Dec 2024	70.93%	4.03%	23.26%	1,594	Rebranding initiation & initial dilution
Sep 2025	**58.39%**	8.24%	33.38%	3,133	**Major promoter block sales during rally**
Dec 2025	**54.19%**	7.93%	37.88%	3,850	**Continued promoter stake liquidation**
Jun 2026	**45.01%**	6.73%	48.26%	4,748	**Promoter stake falls below 50% majority**
Sep 2026	**40.04%**	6.73%	**53.22%**	**5,064**	**Promoters hold minority 40%; Retail holds 53%**

3. CORE OPERATIONAL DECAY & 'OTHER INCOME' MASKING

- **Operational Reality:** The core business remains low-tech automotive lighting components (wedge lamps, capless lamps, LED bulbs). Actual revenue from high-value defence systems is negligible or speculative.
- **Margin Destruction:** Operating Profit Margin (OPM) plummeted from **14.13% in FY25** down to **5.84% TTM**. In the March 2026 quarter, operating profit hit an all-time low of just **Rs 0.13 Crore (Rs 13 Lakhs)** on Rs 9.86 Cr sales (OPM: 1.32%).
- **The Other Income Distortion:** TTM Other Income stands at **Rs 3.54 Crore**, which is **149% of the entire operating profit (Rs 2.37 Cr)**. Net profit is entirely manufactured by non-operating treasury gains / interest rather than factory output.
- **Negative Free Cash Flows:** Free Cash Flow was -Rs 3.81 Cr in FY25 and -Rs 0.77 Cr in FY26. Operating cash flows fail to support ongoing capex and debt service.

4. TECHNICAL DNA: 52-WEEK BREAKDOWN CLIFF (DAILY & WEEKLY)

- **Terminal Markdown Phase:** The stock has corrected -58.3% from its speculative peak of Rs 240.00 and is now grinding on its critical 52-week support floor of **Rs 95.00 – Rs 100.00**.
- **Bearish Moving Average Stack:** Price trades below all major SMAs (20 DMA, 50 DMA, 100 DMA, 200 DMA). Every bounce has been sold into by trapped retail participants.
- **RSI Weakness:** 14-day RSI hovers in the weak 41–45 band with zero bullish divergence, indicating persistent supply overhang.
- **Breakdown Risk:** A daily close below **Rs 95.00** breaks historical support and opens an immediate air pocket toward Rs 75.00 – Rs 80.00 (-25% downside).

5. ACTIONABLE INSTITUTIONAL DECISION BOX

AUDIT PARAMETER	INSTITUTIONAL FINDINGS & FINAL VERDICT
Strategic Category	**SPECULATIVE REBRANDING / VALUE-TRAP DISQUALIFICATION**
Institutional Score	**28 / 100 — HARD GATE FAILURE (DO NOT INVEST)**
CMP / Market Cap	Rs 100.00 (Live: Rs 99.60 - 102.39) | Market Cap: Rs 114 Crore (Illiquid Nano-Cap)
Valuation Check	Stock P/E: 108x | ROCE: 3.93% | ROE: 2.19% | Core P/E (ex-Other Income) > 300x
Governance Verdict	**Extreme Promoter Exit Warning: Promoters sold 32.7% equity; retail holding doubled to 53.2%.**
Action Recommendation	**AVOID / EXIT ON ANY BOUNCE. Invalidation floor at Rs 95.00. Downside risk to Rs 75.00.**

6. FINAL FORENSIC TAKEAWAY

Summary: Uravi Defence and Technology Ltd is a classic case study of retail capital entrapment through narrative rebranding. A legacy auto-bulb manufacturer with sub-4% ROCE re-branded as a 'defence' technology company during peak thematic euphoria, enabling promoters to offload 32.69% of their stake to over 5,000 retail investors while margins and core operational profits evaporated. Trading at 108x P/E with no institutional order backlog or technological moat, this counter represents extreme capital risk.